(ii) in another small category of sectors, foreign investment is permitted only till a specified level of foreign equity participation; and

(iii) the third category, comprising all the other sectors, is where foreign investment up to 100 per cent of equity participation is allowed. The third category has two subsets:

  (a) one consisting of sectors where automatic approval is granted for FDI (often foreign equity participation less than 100 per cent) and

  (b) the other consisting of sectors where prior approval from the Foreign Investment Approval Board (FIAB) is required.

Cumulative amount of FDI inflows from April 2000 to December 2011 stood at US$ 240.06 billion, out of which FDI *equity inflows* amounted to US$ 157.97 billion. FDI inflows declined globally in 2009 and 2010. While India was able to largely insulate itself from the decline in global inflows in 2009-10, FDI flows moderated in 2010-11.

Services (financial and non-financial), telecom, construction, drugs & pharmaceuticals, Metallurgical Industries and power were the sectors that attracted maximum (around 84 per cent) FDI during 2011-12. Cabinet cleared 100% FDI in Single Brand retail and 51% FDI in Multi Brand Retail. The decision regarding Multi Brand Retail is suspended till the consensus is developed through consultation among various stakeholders.

NEW STEPS TO BOOST MANUFACTURING

The GoI has taken several specific initiatives have to strengthen industry, particularly the manufacturing sector. The 12th Plan document lays down broad strategies for spurring industrial growth and recommends sector specific measures covering micro, small, medium and large industries in the formal as well as informal sector. Some of the major initiatives that can change the manufacturing landscape of India are as follows[53]–

National Manufacturing Policy (NMP)